

SENATE No.

The Commonwealth of Massachusetts

PRESENTED BY:

Peter J. Durant

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act establishing the Massachusetts Digital Settlement Sandbox Program.

PETITION OF:

NAME:

Peter J. Durant

DISTRICT/ADDRESS:

Worcester and Hampshire

SENATE No.

By Mr. Durant, a petition (accompanied by bill) (subject to Joint Rule 12) of Peter J. Durant for legislation to establish the Massachusetts Digital Settlement Sandbox Program. Financial Services.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act establishing the Massachusetts Digital Settlement Sandbox Program.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 167B, as appearing in the 2022 Official Edition, is hereby amended
2 by inserting the following new section:-

3 Section 25:

4 (a) Definitions

5 As used in this act, the following words have the following meanings:

6 “Division”, the Massachusetts division of banks.

7 “GENIUS-compliant stablecoin”, a payment stablecoin issued by a permitted payment
8 stablecoin issuer as defined under the GENIUS Act and subject to federal supervision under that
9 act.

“Sandbox participant”, a firm, financial institution, governmental entity, or nonprofit organization admitted into the Massachusetts digital settlement sandbox under this act.

“Settlement application” includes, but is not limited to: (1) same-day closing of municipal notes and bonds; (2) payroll or contractor disbursements; (3) government refunds or rebates; and (4) cross-border remittances associated with public universities or health systems.

(b) Establishment of Sandbox

The division shall establish a Massachusetts digital settlement sandbox program, consistent with chapter 167B and chapter 169 of the General Laws. The division, in consultation with the office of the state treasurer, the secretary of administration and finance, and the Massachusetts technology collaborative, shall promulgate regulations for the application, admission, and oversight of sandbox participants. Sandbox participation shall be limited to 24 months, with a possible one-time 12-month extension upon a showing of good cause.

(c) Regulatory Coordination

The division shall coordinate with federal banking regulators and the United States Department of the Treasury to ensure compliance with the GENIUS Act, the Bank Secrecy Act, anti-money laundering obligations, sanctions requirements, and cybersecurity and operational risk management standards. The division shall establish information-sharing agreements with the office of the comptroller of the currency, the federal reserve, and other relevant agencies for sandbox participants operating in the commonwealth. Nothing in this act shall be construed to conflict with federal law or regulations.

(d) Consumer Protection and Transparency

Sandbox participants shall provide clear disclosures to consumers and counterparties, including: (1) the GENIUS-compliant status of the stablecoin used; (2) the 1:1 reserve requirements and backing assets; and (3) any transaction or conversion fees. The division may suspend or revoke sandbox participation for failure to comply with disclosure, prudential, or anti-fraud requirements.

(e) Sandbox Incentive Fund

A sandbox incentive fund is established within the executive office of economic development. The fund shall support sandbox participants through refundable tax credits for qualifying payroll and research expenditures in the commonwealth or competitive grants for pilot projects involving settlement applications. The aggregate annual amount of credits and grants shall not exceed \$15,000,000. The fund shall be financed through:

(1) A one-time seed allocation of \$3,000,000, reallocated from existing appropriations to the economic development incentive program under section 3A of chapter 23A of the General Laws or the Massachusetts technology collaborative under section 2 of chapter 40J of the General Laws, as determined by the secretary of economic development;

(2) Application and participation fees for sandbox participants, not to exceed \$50,000 per participant, as established by regulations promulgated by the division;

(3) A transaction fee of 0.2 per cent on the value of stablecoin transactions processed within the sandbox, collected by participants and remitted to the fund quarterly, subject to regulations ensuring compliance with chapter 167B and chapter 169 of the General Laws and federal law, and avoiding duplicative assessments;

52 (4) Federal grants obtained through matching programs, including those administered by
53 the United States Economic Development Administration or United States Department of the
54 Treasury, with the division authorized to apply for and accept such funds;

55 (5) Contributions from public-private partnerships, philanthropic organizations, or
56 venture capital entities, solicited and accepted by the division in consultation with the executive
57 office of economic development, provided that such contributions align with the purposes of this
58 act and do not create conflicts of interest. Contributions shall be disclosed publicly in the annual
59 report, including source, amount, and any conditions.

60 The division shall promulgate regulations for the administration of the fund, including fee
61 structures, disbursement criteria, and reporting on fund sources and uses to ensure transparency
62 and fiscal responsibility.

63 (f) Reporting

64 The division shall submit an annual report to the clerks of the house of representatives
65 and senate, the joint committee on financial services, and the house and senate committees on
66 ways and means. The report shall detail: (1) the number and nature of sandbox participants; (2)
67 pilot use cases tested; (3) economic and fiscal impacts on the commonwealth; (4) contributions
68 received under section 6, subsection (e); and (5) recommendations for permanent statutory or
69 regulatory changes.

70 (g) Sunset

71 This act shall expire 5 years after its effective date unless reauthorized by the general
72 court; provided, however, that sandbox participants admitted before the expiration date may

73 complete their pilot periods. The division shall ensure an orderly wind-down of sandbox
74 activities to protect consumers and counterparties.

75 (h) Severability

76 If any provision of this act or its application to any person or circumstance is held invalid,
77 the remainder of the act or the application of the provision to other persons or circumstances
78 shall not be affected.

79 (i) Effective Date

80 This act shall take effect 90 days after its passage.